OPEN LETTER · EYE ON SHOALHAVEN COUNCIL

Letter to council calls for a costed, evidenced Community Infrastructure Strategic Plan

Sent 9 August 2026 · To Mayor White, Council Email · Response requested by 21 August 2026

An Open Letter to the Mayor and the Chief Executive Officer
And a separate letter to the Member for Gilmore, the Member for South Coast and the Member for Kiama, about why the Community Infrastructure Strategic Plan matters to every funding decision made for the Shoalhaven
Sent 9 August 2026 and published in full. Copied to all councillors.

PART ONE — TO MAYOR PATRICIA WHITE AND CHIEF EXECUTIVE OFFICER ANDREW CONSTANCE

Dear Mayor White and Mr Constance,

I wrote to Mr Constance on 5 August about the exhibition report for the Community Infrastructure Strategic Plan 2056. This letter is about something different, and I think more consequential.

The CISP is about to become the single most important document Shoalhaven City Council owns.

Not because it decides the fate of a hall at Callala Bay. Because for the next thirty years it will be the document this Council hands to a State minister, a Commonwealth department, a grants panel and an infrastructure fund every time it asks for money. It is the answer to the question every funder asks first: what does your community actually need, how do you know, and what will it cost?

On the first of those, the plan does reasonably well. On the second and third, in the form the community has seen, it cannot answer at all.
That is not a criticism of the ambition in it. The build list is genuinely substantial — a regional-standard eight-lane synthetic athletics track, a 50-metre FINA pool, a multipurpose community hub, a redeveloped basketball stadium, a new district library at Sanctuary Point, a regional library option for Nowra, major sports precinct works at Ulladulla and Huskisson. That is a serious program for a growing city and much of it is well targeted. Council's own development register shows Badagarang lodging 80.5 applications a year, Vincentia 57.5, Nowra 41.5, Bomaderry 37 and Sanctuary Point 36, and every one of those places has investment attached in the plan.

The problem is what a funder would find if they opened it.

What is not in the 511 pages Council exhibited
I searched every page of the Public Exhibition Summary Report and its 435 pages of

attachments.

- No costs. The character $ appears zero times. So do the words "million", "billion" and "dollar". Not one recommendation carries a capital cost. There is no aggregate for the plan.
- No savings. No divestment or decommissioning recommendation carries an estimated annual operating saving, a maintenance liability or a sale value.
- No population base. No forecast source is named. No base year, no horizon year, no household size assumption. The word "household" does not appear. The years 2041 and 2046 do not appear. No population figure for the city, a planning area or a district appears anywhere.
- Three benchmarks. In a 1,147-recommendation plan, there are three numeric provision standards, and all three are library floor areas. The phrase "in line with CISP benchmarks" appears 19 times without a value ever attached to it.
- No utilisation data. This is the evidentiary basis of every divestment recommendation. The phrase appears seven times across 511 pages — twice as a Council input, five times as a community complaint about it. No dataset, no source, no methodology.
- No asset condition data. The plan's stated rationale includes facilities being poor quality or financially burdensome. Not one condition rating or defect list is published for any of the 648.
- No delivery years. Not one recommendation is dated. Nothing distinguishes 2027 from 2050.
- No implementation record. The CISP 2017–2036 is named once, in a sentence saying it is under review. How much of it was delivered is not stated.

Why this is a funding problem, not just a transparency problem
Put yourself in the seat of a Commonwealth or State assessor with a competitive round and more applications than money.

They will ask what the project costs. They will ask what the demand evidence is. They will ask what the applicant is contributing. They will ask what the operating cost is after it opens. They will ask what else in the applicant's portfolio is competing for the same delivery capacity. And they will ask whether this council has a track record of finishing what it starts.
Right now the CISP answers none of those questions, and the gap is not academic.

The Sanctuary Point library is the live demonstration. It is among the most strongly supported new builds in the plan — 92 per cent agreement on progressing detailed design, 93 per cent on delivering it. On 28 April Council considered terminating a $7.5 million Commonwealth Priority Community Infrastructure Program funding deed by mutual agreement, on the basis that the contracted two-storey library was no longer feasible.

Council resolved not to terminate and to keep seeking funding. As at 29 June the Department had not responded, and the report notes the Minister "will consider options available to the Commonwealth under the Agreement. This may include termination of the Agreement (unilaterally)."

The replacement funding solution put to Council on 29 June is $14.4 million in loans and a $0.45 million library grant — $14.85 million, with no Commonwealth contribution at all, opening late 2029, and an operating cost rising from $229,000 a year to $398,000.

A community of Sanctuary Point's size has, on this trajectory, swapped a $7.5 million grant for $14.4 million of debt. That is the cost of a project that could not hold its funding case together.

The budget shows the same pressure. Of the $139.032 million capital program put to Council on 29 June, Community and Culture is $505,000 — 0.36 per cent, for the entire local government area. Open Space, Sport and Recreation is $7.029 million, falling to $3.662 million next year. The Developer Contributions Projects line is zero in 2026-27. Roads spending of $53.72 million is 51.9 per cent grant-funded, from grants Council itself describes as "largely non-recurring".
A council in that position cannot self-fund the CISP. Everything substantial in it will have to be won from someone else. Which makes the quality of the document the whole ball game.
One more thing, and it is to your credit
I want to record that Council has already identified one of the structural obstacles here itself.
The notice of motion brought on 29 June by Crs Tribe, Boyd and Dunn states plainly that the NSW Government's Essential Works List means councils "can buy land for social infrastructure such as libraries, they cannot fund library construction, leaving a significant gap in the delivery of the essential infrastructure that makes communities liveable."

That is exactly right, and it explains something otherwise inexplicable. The draft Moss Vale Road North contributions plan — for a release area forecast to add 6,937 people — contains a whole Community and Cultural category consisting of one item: a three per cent share of the land cost of the Shoalhaven Entertainment Centre, built in Nowra in 2008, levied at $12.31 per person, about $35 per new lot. It is also why the citywide contribution in that release area was reduced from around $9,000 to $1,195 per dwelling.

So the CISP promises the new suburb a community building, and the funding system Council operates within cannot deliver one. That is not Council's fault. But the plan does not say it, and it should.

What I am asking of you

Not a change of policy. A change of disclosure, before adoption.

1. Publish a costed Action Plan — a capital cost band and a delivery decade against every build recommendation — and place it on public exhibition before the final CISP goes to Council.

2. Publish an estimated annual operating saving and an estimated sale value against every divestment and decommissioning recommendation, and an aggregate for the contraction program.

3. Publish the population base: the forecast source, base year, horizon year, household size assumption, and whether urban release areas and approved-but-unbuilt dwellings are counted.

4. Publish the provision benchmarks as numbers, for every facility type, not as the phrase "in line with CISP benchmarks".

5. Publish the utilisation data behind every divestment recommendation, with its source and counting methodology — the Callala Bay Progress Hall drew 19 email submissions of which ten specifically disputed the accuracy of that data.

6. Publish how seasonal and visitor population was weighted. Twenty-five of the 26 email submissions from Shoalhaven Heads said the district was not over-provisioned and 23 asked expressly that visitor population be counted.

7. Publish the implementation record of the CISP 2017–2036 alongside the new plan. Residents being asked to accept removals on the promise of better facilities are entitled to know how the last promise went.

8. Publish a distributional analysis by district — which districts gain and which lose under this plan. On this masthead's own parse of Attachment A, District 3 (Bomaderry) carries the highest rate of contraction recommendations in the city while Huskisson loses nothing and Ulladulla carries one contraction recommendation against 23 build recommendations. If there is a good reason, publish it.

9. State in the plan, plainly, which recommendations cannot be funded from development contributions because of the Essential Works List, and what the alternative funding path is.

10. Apply the Erowal Bay principle consistently. That recommendation is expressly "conditional on delivery of upgrades at Vincentia Public Hall / delivery of new community building in Vincentia". Marriott Park's downgrade is conditional on the Nowra riverfront park being delivered. Nowra Aquatic Park's downgrade is conditional on the Bomaderry works. That is good drafting and it should apply to every removal in the plan — including Callala Bay Progress Hall, which currently carries no such condition.

Do those ten things and the CISP stops being a document the community is asked to trust, and becomes a document a funder can act on. That is not a concession. It is the strongest thing Council could do for its own case.

PART TWO — TO FIONA PHILLIPS MP, MEMBER FOR GILMORE; LIZA BUTLER MP, MEMBER FOR SOUTH COAST; AND KATELIN McINERNEY MP, MEMBER FOR KIAMA

Dear Ms Phillips, Ms Butler and Ms McInerney,

You will each be asked, repeatedly and for years, to support funding for community infrastructure in the Shoalhaven on the strength of this plan. I am writing to set out why that plan in its present form is not yet capable of carrying the weight — and why fixing it is in the interests of everyone who wants money to actually reach this city.

Let me be clear about my position. I am not arguing against funding for the Shoalhaven. This is a growing local government area with a genuine infrastructure deficit, a documented housing problem, a $158 million consolidated infrastructure backlog and a General Fund operating deficit that rose from $5.95 million in the exhibited draft budget to $12.54 million in the final one. It needs help. I am arguing that funding decisions made from an uncosted plan produce worse outcomes for residents than funding decisions made from a costed one.

Five things I would want you to know

1. The plan you will be shown contains no costs at all. Not one recommendation in 1,147 carries a capital cost, an operating cost or a saving. If a proposal reaches your office described as "a priority in Council's adopted Community Infrastructure Strategic Plan", that phrase currently carries no financial information whatsoever. It does not mean the project is scoped, costed, sequenced or deliverable. It means it appears on a list.
2. The demand evidence has not been published. No population forecast source, base year or horizon appears anywhere in the exhibited material. There are three numeric provision benchmarks in the whole document and all three are library floor areas. The utilisation data underpinning the removals has never been released and its source has never been named. A grant assessor asking "what is the demonstrated need?" cannot presently get an answer out of this document.
3. The delivery record is unstated, and it matters. The previous plan, CISP 2017–2036, is mentioned once. How much of it was delivered is not disclosed anywhere in the exhibition material. Before committing Commonwealth or State money against a thirty-year plan, it is reasonable to ask what happened to the last one. I would ask.
4. Grant dependence is already structural, not marginal. More than half of Shoalhaven's road spending — 51.9 per cent of $53.72 million — is grant-funded, from grants Council itself describes as "largely non-recurring". The entire Community and Culture capital allocation for the city this year is $505,000. The Developer Contributions Projects line is zero. This council cannot deliver the CISP from its own revenue. Whatever is built will be built with your help or not at all, which is precisely why the business cases need to be good.
5. Sanctuary Point shows what happens when they are not. A $7.5 million Commonwealth

Priority Community Infrastructure Program commitment for a new library is, as at 29 June, unresolved and possibly headed for unilateral termination, because the contracted two-storey building was found to be no longer feasible. Council's replacement plan is $14.4 million of borrowings and a $0.45 million grant, opening late 2029, with annual operating costs rising from $229,000 to $398,000. The community still gets its library, eventually. It also gets the debt. Nobody wins from that sequence — not the residents, not the Council, and not the Commonwealth that had money on the table and could not deploy it.

Three things I would ask you to do

First: make the costed Action Plan a condition of engagement. Not of funding — of engagement. Before any Commonwealth or State department considers a Shoalhaven proposal described as a CISP priority, ask to see the cost estimate, the delivery year, the operating cost after opening, and the demand evidence with its population base and benchmark stated. If those exist, this becomes a much stronger city to fund. If they do not, you have found the problem early rather than late.

Second — and this one is squarely yours, Ms Butler and Ms McInerney — the Essential Works List needs revisiting.

As Council's own notice of motion of 29 June puts it, councils "can buy land for social infrastructure such as libraries, they cannot fund library construction."

The practical consequence in this city is documented. The draft contributions plan for the Moss Vale Road North release area — 2,605 dwellings, 6,937 people — levies a total of $12.31 per person, about $35 per new lot, for the whole Community and Cultural category, and that $12.31 buys a three per cent share of the land under a building completed in Nowra in 2008. The citywide contribution in that release area was cut from around $9,000 to $1,195 per dwelling to comply with the list. The district park being built for the new suburb includes "car parking (including provision for mobile library service)".

So the State's own planning system delivers a new suburb of seven thousand people a car park with room for the library van, and then leaves the building to a council the Auditor-General has repeatedly identified as financially unsustainable. This is not a Shoalhaven problem. It is a design problem in the contributions framework, and it will replicate in every release area in the Illawarra-Shoalhaven. It is worth a question in the House.

Third: look at the form of the growth, not just the volume. Council's register holds 3,194 applications. Subdivision accounts for 155 of them. Dual occupancy and second dwellings account for 386 — two and a half times as many.

The Shoalhaven is not principally growing outward into new estates. It is densifying one existing serviced lot at a time, in Vincentia, Sanctuary Point, Callala Beach and Culburra.

That form of growth is cheap for infrastructure in one sense — the road and the drain already exist — and invisible in another, because it never triggers a new facility. It simply loads the one that is already there, and the contributions it generates are a fraction of greenfield rates. Where the existing network runs out of headroom, the repair is a lump-sum cost landing on Council with no release area to levy against.

Nobody has published where that headroom ends, suburb by suburb. If State housing policy is going to rely on infill to meet the Shoalhaven's National Housing Accord target of 4,900 completed homes by mid-2029 — and the Department's own Local Government Narratives already says "there are not enough homes forecast for delivery in this period" — then somebody needs to fund the assessment of what infill costs the receiving suburbs. That is a State responsibility as much as a Council one.

What I am not saying

I am not saying Shoalhaven should get less. I am saying that a costed, evidenced plan gets more, and gets it to the right places.

The CISP has the harder half of the work already done. Council has looked at 648 facilities, run four rounds of engagement, and collected 29,292 individual responses from 2,456 people. There is a real document here and real community input behind it. What it lacks is the arithmetic — and the arithmetic is what turns a wish list into a funding case.

If it is added before adoption, this becomes a plan you can go into a budget process holding. If it is not, then every time one of you is asked to back a Shoalhaven project on the strength of it, you will be backing a line on a list.

THE REQUEST, AND THE TIMETABLE

To the Mayor and the Chief Executive Officer: I will publish your response in full, unedited, at whatever length you give it, and I will publish any correction to my own figures with the same prominence and my own name attached to the error. Every figure in this letter comes from Council's own published documents, and I will supply my working to your staff on request.

To the three members: the same offer, and no deadline. I would rather have a considered answer late than a quick one now.

The final CISP is due to Council for adoption later this year. The Ordinary Meeting of Tuesday 25 August 2026 is the next opportunity for any of this to be raised.

So for Council: 5.00pm, Friday 21 August 2026. If I have not heard from you or your offices by then, I will publish noting that comment was sought and not received.

As always, the offer of 45 minutes on the record, at a time that suits, stands to all five of you.

Yours sincerely,

Steve Prothero
Eye on Shoalhaven Council
steveprothero.substack.com

Copied to: all Shoalhaven City councillors.
Sources: Public Exhibition Summary Report — Community Infrastructure Strategic Plan 2056, and Attachments A–D, Shoalhaven City Council; Ordinary Meeting agenda 29 June 2026 (CL26.129, CL26.136, CL26.144, CL26.147); Ordinary Meeting agenda and minutes 26 May 2026 (CL26.110, CL26.111); draft Moss Vale Road North Urban Release Area Contributions Plan 2027; Shoalhaven City Council Application Tracker via Shoalhaven Development Intelligence (9 August 2026); draft Illawarra Shoalhaven Plan, Appendix A — Local Government Narratives, DPHI. The draft Community Infrastructure Strategic Plan 2056 itself was not available at the time of writing; every statement above about what the plan does or does not contain refers to the material placed on public exhibition.
This letter will be republished each time it is answered — or not answered.
